AUSTRALIAN COMPETITION & CONSUMER COMMISSION

## TCL Electronics – Sony's home entertainment business

MN-65038

# Phase 1 Determination

## Acquisition may be put into effect

4 November 2026

# 1. Determination and statement of reasons

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| **Notified acquisition** | TCL Electronics Holdings Limited's (**TCL Electronics**), via a wholly owned subsidiary, TTE Corporation, proposed acquisition of 51% of the share capital of a newly incorporated entity of Sony Corporation (**Sony**), into which Sony will transfer the sales, marketing, distribution, service, design/R&D, product planning, procurement, planning and control, quality assurance and other headquartered functions of its home entertainment business (the **Target Business**) (the **Acquisition**). Sony will retain a 49% interest in the Target Business. |
| **Determination** | The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the *Competition and Consumer Act 2010* (Cth) that the Acquisition may be put into effect. |
| **Parties to the Acquisition** | The acquirer, TCL Electronics, is a global consumer electronics company, headquartered in Hong Kong. Aside from the consumer electronics activities of TCL Electronics, the other activities of TCL Industries Group comprise TCL Air Conditioners, TCL Smart Home (e.g. refrigerators and washing machines), environmental technology solutions, industrial park operation, intelligent manufacturing, and specialised industrial financial services.<br><br>The Target Business comprises Sony's global activities of research and development, manufacturing, assembly, testing, sales, marketing, distribution, after-sales and customer services in relation to home entertainment products. |
| **Overlap between the Parties** | In Australia, TCL Electronics and the Target Business (the **Parties**) overlap in the supply of LCD televisions and home audio systems. |
| **Reasons for determination** | When making a determination in Phase 1, the Australian Competition and Consumer Commission (**ACCC**) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the *Competition and Consumer Act 2010* (Cth) (the **Act**). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers.<br><br>For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's merger assessment guidelines and interim merger process guidelines.<br><br>In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form, information from third parties and publicly available information.<br><br>The ACCC has determined that the Acquisition may be put into effect as it considers that the Acquisition would be unlikely to have the effect of substantially lessening competition in any market. In reaching its decision, and based on the material before it, the ACCC makes the following findings:<br><br>• TCL Electronics and the Target Business are not each other's closest competitors. |

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| | • The Acquisition would result in relatively small increases in market concentration.<br>• Following the Acquisition, TCL Electronics would continue to face competition from multiple alternative suppliers of LCD televisions and home audio systems, including larger competitors such as Samsung and LG. |
| **Applications for review** | A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal. |

**Determination made by Commissioner Woodward pursuant to a delegation under section 25(1) of the Act**